INDIVIDUAL FINANCIAL PLANNING

Investment Strategy & Asset Allocation

Client: Mr. Sandeep Kumar Singh & Mrs. Neha Singh

Planning Year: August 2026 – July 2027

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1. The Client – Brief Introduction

CLIENT PROFILE

- Mr. Sandeep Kumar Singh, age 39 – Senior Project Manager in the IT industry.
- Mrs. Neha Singh, age 36 – HR Manager in a consulting firm.
- Married couple with two children: Aarav (10) and Ananya (6).
- Also supporting Sandeep's mother, age 67, who has ongoing medical needs.
- Both spouses are salaried and financially stable; the family also has outstanding loans.

PLANNING CONTEXT

Factor	Profile
Life cycle	Family / Accumulation
Wealth cycle	Wealth Accumulation
Risk profile	Moderate
Planning horizon	Short, medium & long term
Key priorities	Protection, education & retirement

Core approach: protect liquidity first, then invest the revised surplus according to each goal's horizon.

2. Current Cash Flow & Net Worth

CURRENT ANNUAL SURPLUS

₹14.99 lakh

ESTIMATED NET WORTH

₹1.815 crore

EMERGENCY RESERVE

₹6.80 lakh

Existing net-worth components

Asset	Current value
Self-occupied residential home	₹1.25 crore
Savings bank account	₹6.20 lakh
Combined PPF	₹18.50 lakh
Combined EPF	₹31.80 lakh
Total estimated net worth	₹1.815 crore

CURRENT POSITION

- Annual surplus provides capacity for goal-based investing.
- Net worth is supported by the home, EPF and PPF.
- Liquidity remains important because the family has children, an elderly dependent and loans.

3. Risk Profile of the Client

OVERALL RISK

MODERATE

Balanced growth + capital stability

Avoid an excessively aggressive equity portfolio.

Risk factor	Assessment
Income stability	Good
Financial responsibilities	High
Investment horizon	Short, medium & long term
Liquidity requirement	Moderate
Debt obligation	Moderate
Risk tolerance	Moderate
Inflation concern	High
Capital stability concern	Moderate

4. Three Front Securities – Is the Client Fully Secured?

1 EMERGENCY FUND

₹10.00 L target

Existing: ₹6.80 L

Additional: ₹3.20 L

Park in savings / sweep FD / short-term liquid instruments for liquidity.

2 LIFE INSURANCE

Additional cover

Sandeep: ₹3.00 Cr

Neha: ₹1.50 Cr

Based on Human Life Value after considering existing cover, liabilities and financial assets. Prefer term insurance.

3 HEALTH COVER

₹20 lakh

Family-floater super top-up

Estimated premium: ₹30,000 p.a.

Reduces dependence on employer-provided health insurance.

5. Investment Plan for Each Goal

Future value assumptions: 8% inflation for education/medical goals; retirement target ₹5 crore.

Goal	Present cost	Time	Inflation	Future requirement
Mother's medical/care fund	₹6.95 L	10 yrs	8%	₹15.00 L
Aarav – overseas/professional education	₹45.00 L	8 yrs	8%	₹83.29 L
Ananya – higher education	₹40.00 L	12 yrs	8%	₹100.73 L
Retirement corpus	—	21 yrs	—	₹5.00 Cr target

Example: Aarav's education → FV = ₹45,00,000 × (1.08)^8 ≈ ₹83.29 lakh.

6. Asset Allocation

STRATEGIC ALLOCATION

Asset class	Target
Equity mutual funds	50%
Hybrid / debt funds	30%
EPF / PPF / fixed income	20%
Total	100%

Rebalance periodically so equity does not drift materially above the target.

Goal	Asset	Monthly SIP	Tenure	Return
Mother’s care	Debt fund / FD	₹8,000	10 yrs	7%
Aarav education	Hybrid / Equity MF	₹22,000	8 yrs	11%
Ananya education	Equity MF	₹15,000	12 yrs	11%
Retirement	Equity / EPF-PPF	₹15,000	21 yrs	10%
Total	—	₹60,000	—	—

7. Summary of the Investment Plan

Goal	Investment / Mode	Tenure	Risk	Return	Projected	Required	Variance
Mother's Care	Debt/FD • ₹8k SIP	10 yrs	Low	7%	₹13.8 L	₹15 L	-₹1.2 L
Aarav Education	Hybrid/Equity • ₹22k SIP + existing	8 yrs	Mod–High	11%	~₹51 L	₹83.29 L	-₹32.3 L
Ananya Education	Equity + Gold • ₹15k SIP + existing gold	12 yrs	High	11% / 7%	~₹51 L	₹100.73 L	-₹49.7 L
Retirement	EPF/PPF + Equity • ₹15k SIP	21 yrs	Mod–High	7.5–10%	~₹4.89 Cr	₹5 Cr	-₹0.11 Cr

Post-tax returns should be monitored because the family is in a relatively high income-tax bracket.

8. Reasons for Variance / Shortfalls

WHY DO THE GOALS SHOW SHORTFALLS?

- Education and medical costs are assumed to inflate at 8%, materially increasing future requirements.
- Available surplus is constrained after emergency-fund top-up, insurance and home-loan prepayment.
- Moderate risk tolerance limits the use of an excessively high equity allocation.
- Liquidity needs prevent investing the entire available surplus in long-term assets.
- Current calculations do not assume large future salary increases or bonuses.

HOW TO CLOSE THE GAP

Increase SIPs by 5–10%

- Use future salary increments.
- Direct part of bonuses to education goals.
- Review assumptions annually.

9. What Next?

PRIORITY ACTION PLAN

- 1. Complete the ₹3.20 lakh emergency-fund top-up.
- 2. Purchase the recommended additional term insurance and ₹20 lakh health super top-up.
- 3. Prepay ₹2.50 lakh of the home loan.
- 4. Start the ₹60,000 monthly goal-based SIP plan.
- 5. Increase SIPs by 5–10% when salary increments or bonuses are received.
- 6. Review the portfolio annually and rebalance to the strategic allocation.
- 7. Review nominations, Will and estate-planning arrangements.

Bottom line: protect first, invest by goal, increase contributions over time, and rebalance periodically.